China: Augmented fiscal deficit tightened further in May

Lisheng Wang
+852-3966-4004 |
lisheng.wang@gs.com
Goldman Sachs (Asia) L.L.C.

Bottom line:

Year-on-year growth in on-budget fiscal revenue remained solid in May amid continued increase in PPI inflation and still-soft activity growth, as slower tax revenue growth largely offset faster non-tax revenue growth. Year-on-year contraction in on-budget fiscal expenditure narrowed, although growth in infrastructure-related on-budget spending remained subdued. Property-related government revenue weakened further in May, due mainly to wider year-on-year contraction in off-budget land sales revenue. Combining on-budget and off-budget financing channels, our proprietary "augmented fiscal deficit" (AFD) metric tightened further in May on both a 3-month and 12-month moving average basis, suggesting fiscal policy has become less supportive of growth in Q2 vs. Q1 on the back of falling land sales revenue and shrinking policy bank support. We expect the central and local governments to step up their bond issuance and proceeds spending in coming months, and accelerate the implementation of the RMB800bn policy bank new financing tool.

Key numbers:

Fiscal revenue growth: +6.6% yoy in May (-0.4% mom sa non-annualized, estimated by GS), vs. +6.7% yoy in April (+1.9% mom sa non-annualized).

Fiscal expenditure growth: -1.6% yoy in May (+0.3% mom sa non-annualized), vs. -3.2% yoy in April (-2.7% mom sa non-annualized).

Land sales revenue growth: -35.8% yoy in May (-1.2% mom sa non-annualized), vs. -34.9% yoy in April (-5.6% mom sa non-annualized).

Property-related tax revenue growth: -2.6% yoy in May, vs. -0.7% yoy in April.

Effective fiscal deficit ratio (after GS seasonal adjustment): -4.1% of GDP 3mma and -4.7% 12mma as of May, vs. -4.7% of GDP 3mma and -4.8% 12mma as of April.

Augmented fiscal deficit (AFD) ratio (after GS seasonal adjustment): -8.5% of GDP 3mma and -10.6% 12mma as of May, vs. -9.5% of GDP 3mma and -10.8% 12mma as of April.[1]

Main points:

[1] Our measure of augmented fiscal deficit is a sum of effective on-budget fiscal deficit and off-budget fiscal deficit. We estimate the off-budget spending by major channels that finance quasi-fiscal activities, which include new local government special bonds (LGSB), land sales revenue, local government financing vehicle (LGFV) bonds, policy banks support, shadow banking loans, etc.

1. On-budget fiscal revenue growth remained solid at +6.6% yoy in May (vs. +6.7% yoy in April; Exhibit 1) amid continued increase in PPI inflation and still-soft activity growth, as slower tax revenue growth (to +6.8% yoy in May from +8.2% yoy in April) largely offset faster non-tax revenue growth (to +5.6% yoy on favorable base effects from -5.3% yoy). April-to-May slowdown in year-on-year revenue growth was broad-based across major tax categories, led by individual income tax, corporate income tax and consumption tax. Year-on-year growth in stamp duty on stock trading jumped to +145.9% in May from +62.9% in April, though it only accounted for 1.2% of total tax revenue in 2025.

2. Year-on-year contraction in on-budget fiscal expenditure narrowed to -1.6% in May from -3.2% in April, as faster spending growth in science & technology, urban & rural community affairs, and energy saving & environmental protection more than offset slower spending growth in culture, tourism, sports & media. Based on our estimates, growth in infrastructure-related on-budget fiscal spending[2] remained subdued at -12.0% yoy in May despite a modest improvement from -18.6% yoy in April, which continued to weigh on infrastructure investment growth (slowing to -11.2% yoy in May from -5.6% yoy in April).

3. Property-related government revenue weakened further in May — year-on-year contraction in off-budget land sales revenue widened further to -35.8% in May from -34.9% in April, and on-budget property-related tax revenue growth slid to -2.6% yoy from -0.7% yoy (Exhibit 2).[3] Combining these two items, we estimate that government revenue directly from the property sector contracted 23.9% yoy in May (vs. -20.1% yoy in April). Despite recent green shoots in home transactions in some large cities, we expect continued decline in land sales revenue this year and beyond, given the prolonged property downturn (especially for construction activity) and still-stretched funding conditions for many developers.

4. Taking into consideration general public budget and government-managed fund budget, we estimate year-on-year growth in total government revenue rose slightly to +2.4% in May from +2.0% in April, and year-on-year contraction in total government expenditure narrowed to -3.9% from -7.3%. Further incorporating more off-budget financing channels, our proprietary "augmented fiscal deficit" (AFD) metric narrowed further in May, on both a 3-month and 12-month moving average basis (Exhibit 3). Although our proprietary measure of fiscal "spend-through" ratio (which is based on 12-month moving average) and the year-on-year change in outstanding amount of fiscal deposits pointed to slightly faster government spending of previously raised funds in May (Exhibit 4), the meaningful tightening of our AFD metric suggests fiscal policy has become less supportive of growth in Q2 vs. Q1, on the back of falling land sales revenue and shrinking policy bank support (Exhibit 5).

5. Onboarding the weaker-than-expected activity data in April-May, we recently nudged down our sequential real GDP growth forecast for Q2 to 3.5% qoq annualized (implying a 4.5% yoy growth), while raising it slightly for Q3 on our assumptions of lower oil prices, faster fiscal spending, and normalized weather conditions. The RMB7.7tn of unspent government bond quota as of end-May (out of RMB11.9tn for the full year), the

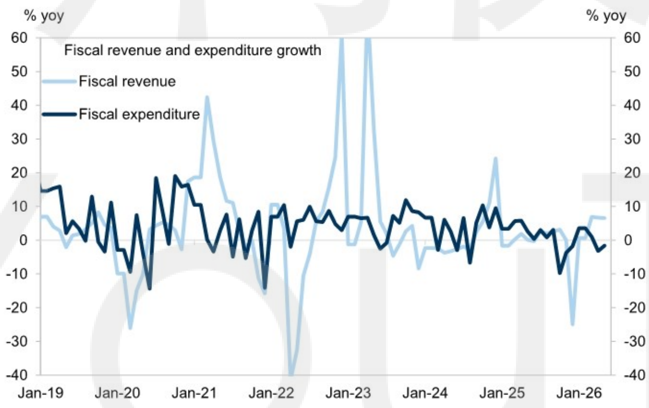
[2] We define infrastructure-related fiscal spending as fiscal spending on energy saving & environment protection, agriculture & water conservancy, transportation, and urban & rural community affairs.

[3] Property-related taxes include property tax, deed tax, land appreciation tax, urban and town land use tax and farmland occupation tax.

RMB800bn policy bank new financing tool available this year (up from RMB500bn last year), and the RMB536bn year-on-year increase in outstanding fiscal deposits all suggest ample funding capacity in coming quarters. We expect the central and local governments to step up their bond issuance and proceeds spending in coming months, accelerate the implementation of the policy bank new financing tool, and leave the door open for incremental easing should Q2 GDP disappoint meaningfully. However, given firmer-than-expected exports and the conservative growth target for this year (“4.5-5%”), we do not expect significant, broad-based stimulus in the near-term.

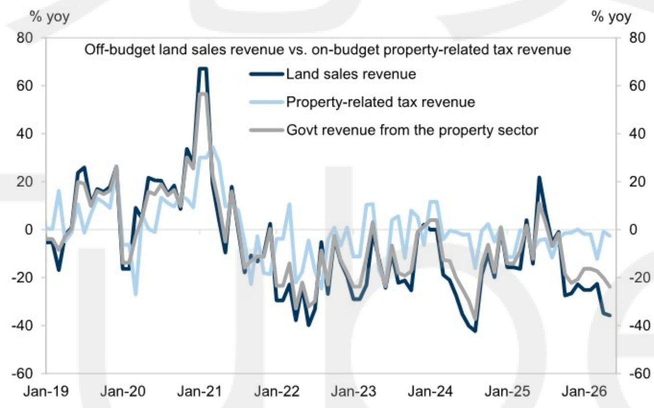
Lisheng Wang

Exhibit 1: Fiscal revenue growth continued to outperform fiscal spending growth in May



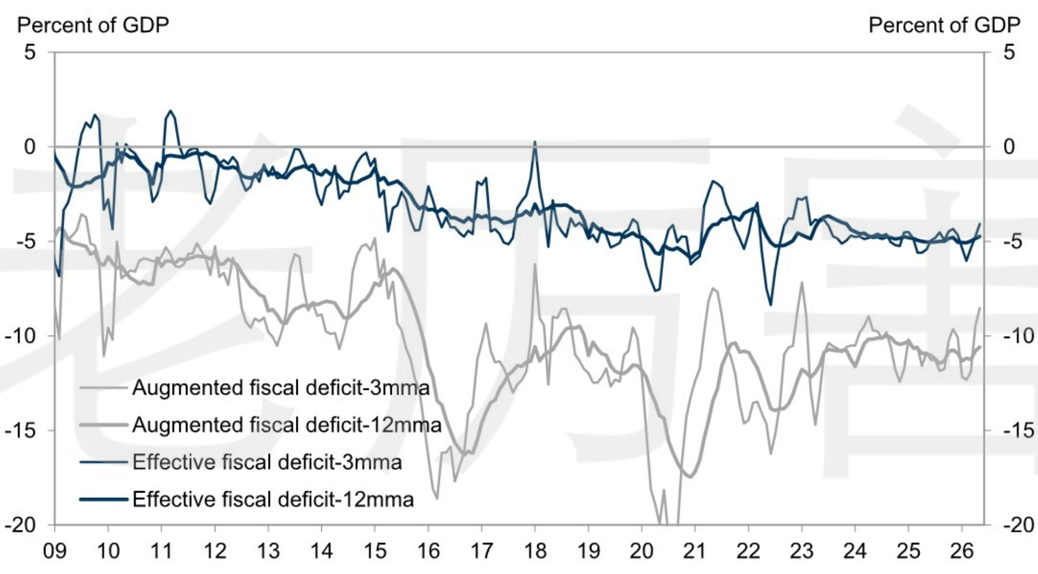
Source: Wind, Data compiled by Goldman Sachs Global Investment Research

Exhibit 2: Property-related government revenue continued to weaken in May



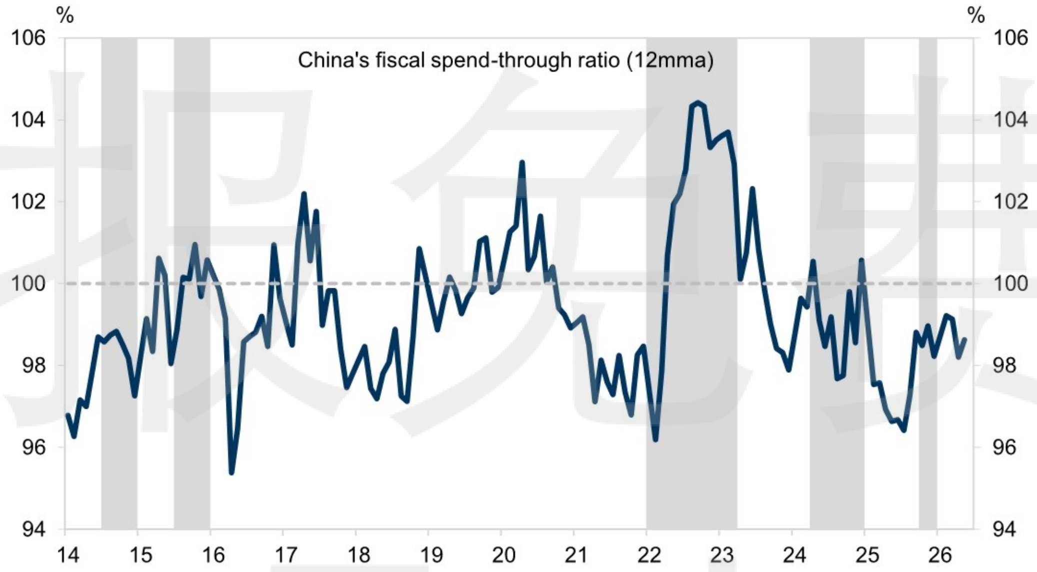
Source: Wind, Data compiled by Goldman Sachs Global Investment Research

Exhibit 3: Our augmented fiscal deficit (AFD) metric tightened further in May



Source: Wind, CEIC, Goldman Sachs Global Investment Research

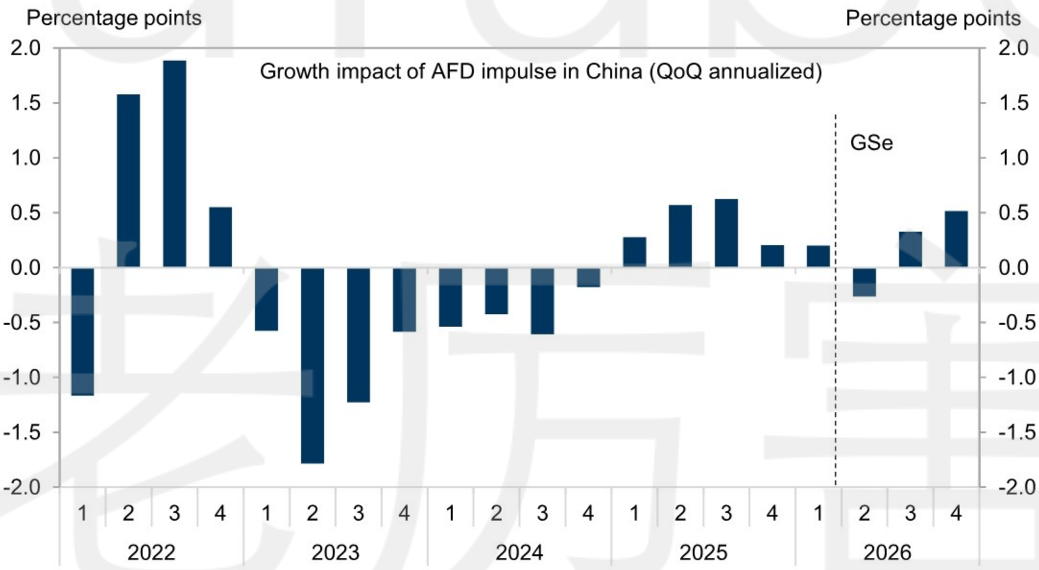
Exhibit 4: China's fiscal "spend-through" ratio rose slightly in May on a 12mma basis



Shaded areas refer to periods when China's year-to-date real GDP growth was equal to or below the full-year growth target. Note that the Chinese government did not set a national growth target for 2020.

Source: MOF, Wind, CEIC, Goldman Sachs Global Investment Research

Exhibit 5: Fiscal impulse has weighed on sequential growth in Q2, while we expect it to be more supportive of growth in H2



Source: Goldman Sachs Global Investment Research

The China Economics Team

Andrew Tilton
+852-2978-1802
andrew.tilton@gs.com
Goldman Sachs (Asia) L.L.C.

Hui Shan
+852-2978-6634
hui.shan@gs.com
Goldman Sachs (Asia) L.L.C.

Lisheng Wang
+852-3966-4004
lisheng.wang@gs.com
Goldman Sachs (Asia) L.L.C.

Xinquan Chen
+852-2978-2418
xinquan.chen@gs.com
Goldman Sachs (Asia) L.L.C.

Yuting Yang
+852-2978-7283
yuting.y.yang@gs.com
Goldman Sachs (Asia) L.L.C.

Chelsea Song
+852-2978-0106
chelsea.song@gs.com
Goldman Sachs (Asia) L.L.C.

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Contributing Authors: Lisheng Wang Goldman Sachs (Asia) L.L.C..

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